

## Bourse correction

The **relentless decline** in the Indian stock market since last September **is** causing concern all around. The large cap-oriented **bellwether indices**, the Sensex and the Nifty 50, **have** lost around 14 per cent in the last five months. But the **magnitude** of the correction **so far has** been quite limited, compared with the decline in 2008 when the large cap indices had declined 64 per cent or in the Covid-induced crash in 2020, when the decline was 40 per cent. Other **corrections** in Indian market such as those in 2010 and 2015 **had** also **dragged** the indices more than 20 per cent from their **peaks**.

The ongoing correction is just a phase in the stock market cycle — of **rallies** followed by declines. Such declines are needed to **drain out** the **speculative froth** created by the **preceding bull run**. The **ostensible reasons** for the ongoing correction **are** **foreign portfolio investors** pulling money out of India due to slowing corporate profitability, weakness in the rupee and the negative impact of the US President Donald Trump's policies on India. But India is among the worst performing stock markets this year because of institutional investors selling stocks to **book profits** made since 2020. The Indian stock market has been a **stellar** performer since the pandemic. While other emerging markets **witnessed** severe declines after the Russia-Ukraine conflict in 2022, the Indian stock market recovered quickly and went into a **frenzied** run thereafter.

The **rally** over the last two years **has** been led by the seven crore individual investors, who entered the stock market during or after the pandemic. **Penny stocks**, stocks with questionable fundamentals, stocks on the SME platform and IPOs witnessed **feverish** activity as new investors looked for **avenues** to make money quickly. **Turnover** in equity futures and options **has** been doubling every year since 2020-21. With domestic funds chasing stocks, India became one of the most expensive equity markets globally. While the ongoing correction has pulled the price-earnings multiple of the Nifty50 down from 24 in September 2024 to 20 now, it is still trading at a significant **premium** to other emerging market indices. The **valuation** in many **pockets** such as FMCG, MNCs, and consumer **non-durables sectors** **continue** at **exorbitant** levels.

With the Indian stock market still trading at **lofty** valuations, the correction could continue until prices **align with** fundamentals. New investors should **heed** the **perils** of chasing high-risk stocks. The stock market regulator, stock exchanges and other **intermediaries** should increase investor awareness **outreach** over the coming months, educating them about the way stock markets evolve, and the **wisdom** in long-term investing. **It would be a pity** if **retail investors** who entered stock market after Covid **move** away from equity investing due to this correction. The regulator should not respond in any **knee-jerk** fashion, by increasing trading margins, **collateral** requirements or **surveillance**. It is best to let this correction **run its course**.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

## Vocabulary

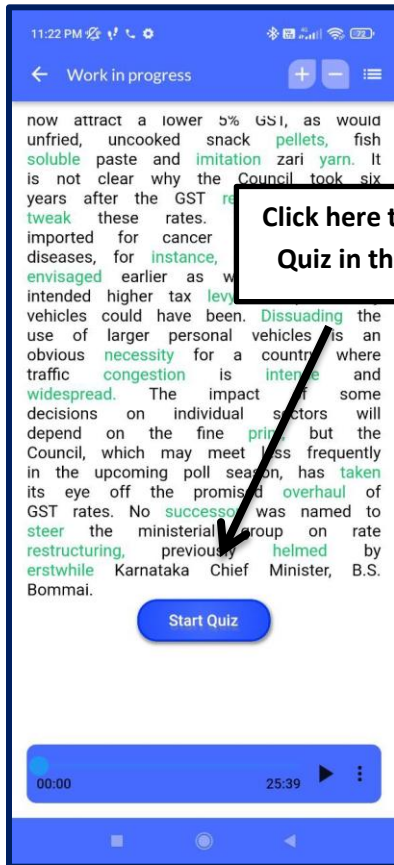
1. **Bourse** (noun) – a stock market शेयर बाजार
2. **Bellwether** (noun) – something that leads or indicates a trend.
3. **Indices** (noun) – Indicators, Benchmarks, Gauges, Measures, Standards सूचकांक
4. **Magnitude** (noun) – Extent, Size, Scale, Degree, Proportion परिमाण/ मात्रा
5. **So far** (phrase) – Until now, Up to this point, Thus far, To date, Yet अब तक
6. **Drag** (verb) – Pull, Tug, Haul, Draw, Trail खींचना
7. **Peak** (noun) – Summit, Top, Apex, Zenith, Pinnacle शीर्ष
8. **Drain out** (phrasal verb) – Deplete, Exhaust, Empty, Remove, Expel निकालना/ हटाना
9. **Speculative** (adjective) – Risky, Uncertain, Hypothetical, Theoretical, Conjectural अटकलबाजी वाला
10. **Froth** (noun) – worthless or insubstantial talk, ideas, or activities व्यर्थ बकवाद
11. **Preceding** (adjective) – Previous, Prior, Earlier, Former, Precedent पूर्ववर्ती
12. **Bull run** (noun) – Rally, Boom, Uptrend, Surge, Growth तेजी का दौर
13. **Ostensible** (adjective) – Apparent, Seeming, Supposed, Superficial, Alleged प्रत्यक्ष
14. **Foreign portfolio investor** (noun) – an individual, institution, or fund that invests in a foreign country's financial assets. These assets include stocks, bonds, mutual funds, and exchange-traded funds (ETFs) विदेशी पोर्टफोलियो निवेशक
15. **Book profit** (noun) – Realize gains, Cash in, Secure profit, Lock in profit, Harvest profit लाभ बुक करना
16. **Stellar** (adjective) – Outstanding, Excellent, Brilliant, Superb, Remarkable शानदार
17. **Witness** (verb) – Observe, See, Experience, Notice, View देखना
18. **Frenzied** (adjective) – Frantic, Wild, Hectic, Manic, Chaotic उन्मत्त
19. **Penny stock** (noun) – Low-priced stock, Small-cap stock, Micro-cap stock, Speculative stock, Risky stock कम मूल्य वाला शेयर
20. **Feverish** (adjective) – Intense, Frenetic, Hectic, Agitated, Excited उत्तेजित
21. **Avenue** (noun) – Path, Route, Channel, Means, Opportunity मार्ग
22. **Premium** (noun) – the amount by which the price of a share or other security exceeds its issue price, its nominal value, or the value of the assets it represents.

23. **Pocket** (noun) – Segment, Section, Area, Zone, Niche क्षेत्र
24. **Non-durable** (noun) – something is not durable, or will not last long. It can also mean something is perishable or consumable
25. **Exorbitant** (adjective) – Excessive, Extravagant, Unreasonable, Outrageous, Inflated अत्यधिक
26. **Lofty** (adjective) – High, Elevated, Grand, Noble, Towering ऊँचा
27. **Align** (with) (verb) – Match, Adjust, Coordinate, Harmonize, Conform मेल खाना
28. **Heed** (verb) – Listen, Follow, Observe, Consider, Mind ध्यान देना
29. **Peril** (noun) – Danger, Risk, Hazard, Threat, Jeopardy खतरा
30. **Intermediary** (noun) – Mediator, Middleman, Agent, Broker, Facilitator मध्यस्थ
31. **Outreach** (noun) – Engagement, Communication, Interaction, Connection, Involvement संपर्क
32. **Wisdom** (noun) – Knowledge, Insight, Understanding, Prudence, Sagacity ज्ञान
33. **It would be Pity** (phrase) – it would be unfortunate यह अफ़सोस की बात होगी
34. **Knee-jerk** (adjective) – Automatic, Reflex, Instant, Impulsive, Unthinking तत्काल प्रतिक्रियात्मक
35. **Collateral** (noun) – Security, Guarantee, Pledge, Assurance, Backup जमानत
36. **Surveillance** (noun) – Monitoring, Observation, Supervision, Watch, Scrutiny निगरानी
37. **Run its course** (phrase) – complete its natural development without interference.

## Summary of the Editorial

1. **Market Decline:** Indian stock markets, represented by the Sensex and Nifty 50, have fallen by around 14% since September 2024, sparking widespread concern.
2. **Historical Context:** The current decline is milder compared to past corrections, such as the 64% drop in 2008 and the 40% crash during the COVID-19 pandemic in 2020.
3. **Market Cycles:** Corrections are a natural phase in stock market cycles, helping to eliminate speculative excesses from previous bull runs.
4. **Reasons for Decline:** Foreign portfolio investors (FPIs) are withdrawing funds due to slowing corporate profitability, rupee weakness, and the impact of U.S. President Donald Trump's policies.
5. **Institutional Profit Booking:** Institutional investors are selling stocks to book profits accumulated since 2020, contributing to the market downturn.
6. **Post-Pandemic Rally:** The Indian stock market outperformed other emerging markets after the Russia-Ukraine conflict in 2022, driven by a surge in retail investors.
7. **Retail Investor Boom:** Seven crore new individual investors entered the market during or after the pandemic, fueling speculative activity in penny stocks, SME platform stocks, and IPOs.
8. **F&O Trading Surge:** Equity futures and options turnover has doubled annually since 2020-21, reflecting heightened speculative activity.
9. **High Valuations:** Despite the correction, the Nifty 50's price-earnings multiple remains high at 20, trading at a premium to other emerging markets.
10. **Overvalued Sectors:** Sectors like FMCG, MNCs, and consumer non-durables continue to trade at exorbitant valuations.
11. **Need for Alignment:** The correction may persist until stock prices align with fundamental valuations.
12. **Investor Caution:** New investors should avoid high-risk stocks and focus on long-term investment strategies.
13. **Regulatory Role:** Stock market regulators and intermediaries should enhance investor education to promote awareness about market cycles and prudent investing.
14. **Avoid Knee-Jerk Measures:** Regulators should refrain from imposing abrupt measures like increased trading margins or collateral requirements, allowing the correction to run its course.
15. **Retail Investor Retention:** Efforts should be made to retain retail investors who entered the market post-COVID, ensuring they remain engaged with equity investing despite the correction.

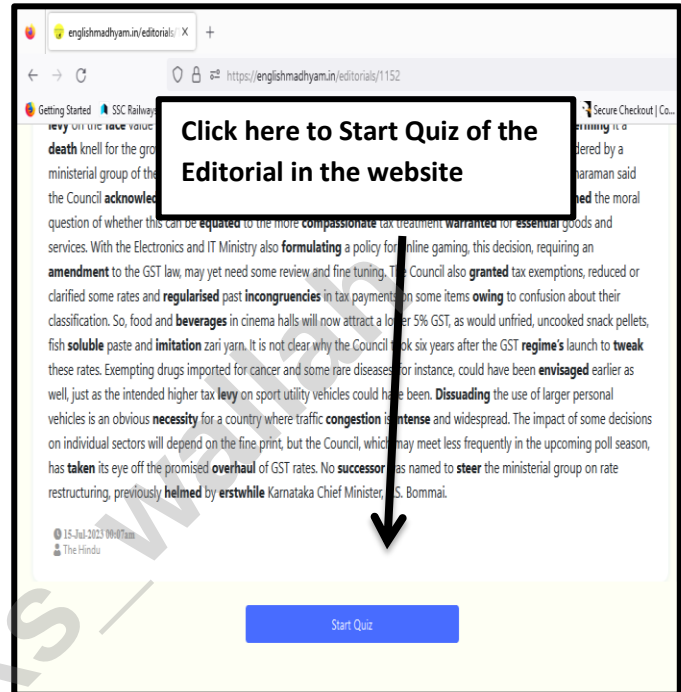
## Practice Exercise: Banking Pattern Based



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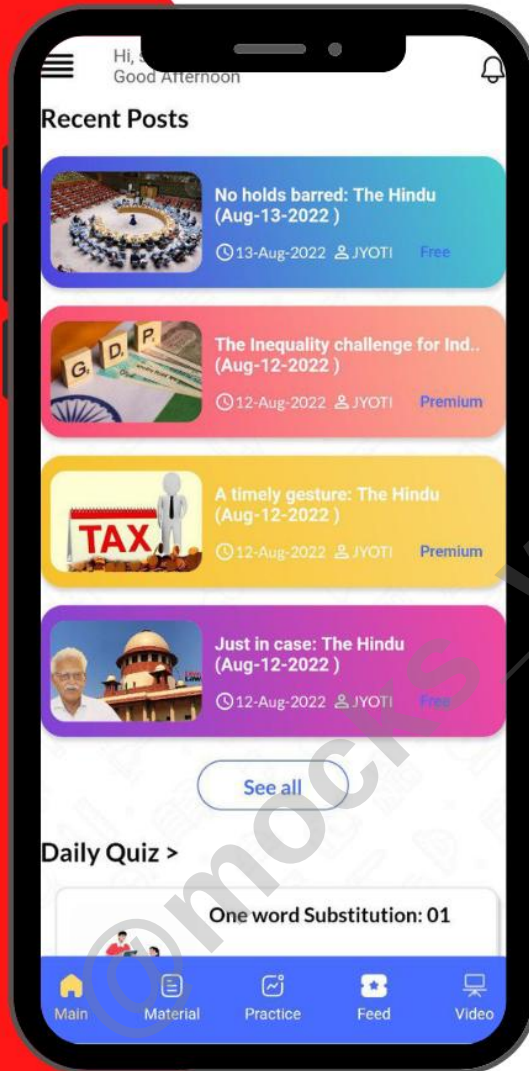
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